ADDENDUM B: INSTALMENT SALE

An instalment sale means the Buyer pays the price off over time and owns the property once it is paid.

This Addendum amends the sale agreement between

(the Seller)

and

(the Buyer)

for

(the property),

converting it into a sale on instalments. The Deed of Sale (signed on the date below) records the purchase price in clause 1.3; that price, less any deposit or extra cash the Buyer pays on or before occupation, is the balance the Buyer binds himself to pay to the Seller by instalments, with interest, on the terms below. Where this Addendum and the Deed of Sale differ, this Addendum applies; and ownership passes to the Buyer only once the price and interest are paid in full, when transfer is registered and this recorded contract is cancelled.

Deed of Sale signed on:

1. FINANCIAL DETAILS

Balance financed (R)	Amount in words

Interest rate (% per year, fixed)	Repayment period (months)	Monthly instalment (R)
First instalment due (date)	Balloon / final amount (R)	Balloon amount due (date)

Balance financed = purchase price (clause 1.3), less the deposit (clause 1.4), less any further cash the Buyer pays.

2. AMENDMENTS TO THE DEED OF SALE

2.1 **Conversion and survival.** This Addendum converts the sale into a sale on instalments under Chapter II of the Alienation of Land Act 68 of 1981. Except where expressly amended below, every provision of the Deed of Sale remains unchanged and in full force. Wherever the Deed of Sale assumes transfer against immediate payment, it is read consistently with the deferred transfer under this Addendum.

2.2 **Purchase price by instalments.** Clause 1.5 and clause 5 do not apply, and the sale is not subject to any bank bond. Clause 3.3 is deleted and replaced: the Buyer pays the balance of the purchase price to the Seller by the instalments set out in Section 1.

2.3 **Deferred transfer and use.** Clause 4.1 is amended so that transfer is registered only once the Buyer has paid the price and interest in full; the Seller stays the registered owner until then. Clause 7.4 is amended so that the Buyer, bearing risk and benefit from the occupation date, may occupy, use, maintain and improve the property, and on cancellation has no claim for improvements, subject to the Conventional Penalties Act 15 of 1962.

2.4 **Recording against the title deed.** The Seller irrevocably instructs the attorneys in clause 1.4 to record this sale against the title deed under section 20 of the Act within 3 (three) months of signing, at the

Sellers initial: _____ Buyers initial: _____

Buyer's cost, and to sign everything reasonably required to do so. The recording secures the Buyer's right to the property pending transfer.

2.5 **Interest and repayment.** Clause 7.3 (occupational rent) is deleted. In its place, interest runs on the outstanding capital balance, reducing as instalments are paid, at the fixed yearly rate in Section 1, from the occupation date until the price is paid in full. The Buyer pays each instalment in advance on the same day of each month from the first-instalment date, and any balloon amount on the balloon date; each payment is applied first to interest, then to capital.

2.6 **Early settlement and section 27.** The Buyer may settle the whole balance at any time without penalty. The Buyer's right under section 27 of the Act to take transfer after paying half the purchase price is preserved.

2.7 **Insurance.** Clause 7.5 is deleted and replaced: while the price is unpaid the Buyer must insure the property for its full replacement value in the Buyer's name where an insurer will give such cover; failing which the Seller keeps the existing policy in place and the Buyer reimburses the premiums, including any increase caused by the Buyer's occupation or use. The proceeds of any claim are applied to reinstating the property, and otherwise dealt with as the Act requires.

2.8 **If the Buyer defaults.** If the Buyer fails to pay and does not remedy after the notice and within the period section 19 of the Act requires, the whole balance and interest fall due at once and the Seller may cancel this sale and enforce it under clause 12 of the Deed of Sale. Any forfeiture is subject to the Conventional Penalties Act 15 of 1962.

2.9 **National Credit Act, and completion.** The Buyer is a juristic person whose asset value and annual turnover each equal or exceed R1 000 000, so this sale falls outside the National Credit Act 34 of 2005 (section 4(1)(a)(i) read with section 7(1)). Once the price, interest and costs are paid in full, the Seller signs everything needed to transfer the property and cancel the recording, at the Buyer's cost, and neither party has any further claim under this Addendum.

3. SIGNATURES

Signed by hand in black ink, as part of and together with the Deed of Sale.

SELLER(S)

Signed at (place) _____ On (date) _____

Seller 1

Signature _____

Full name _____

Seller 2

Signature _____

Full name _____

BUYER(S)

Signed at (place) _____ On (date) _____

Buyer 1

Signature _____

Full name _____

Buyer 2

Signature _____

Full name _____